

Do you need to own in the “best” school district? Have you toured the schools in the more affordable districts?

How much have insurance and property taxes risen in the area in the last ten years, and how does that compare to other areas?

Do you want a homeowners association (HOA), and at what rate are those fees increasing?

There is no right answer, but when you make a decision this big based on feelings, assumptions, and other people’s opinions, you risk wasting a lot of money. A 2024 study found that renting is less expensive than buying² in the fifty largest metros in the US. That won’t always be the case, but it is the case now and will likely be the case again sometime in the future. In 2023, mortgage interest rates crested to their highest level in decades and home sales declined to the slowest pace since the Great Recession. Owning a home is a great financial decision, but it’s not the best decision for everyone. If the numbers don’t work for your income and lifestyle, then it’s not wise to force it.

Say you do go into the home buying process, and you decide on a \$300,000 budget, but after a few tours you realize the homes are not what you had in mind. So, you start looking at the \$350,000 homes, and they are leaps and bounds better. An extra \$50,000 will cost you about \$300 extra per month. A realtor might say, “It’s just \$300 a month, it’ll be worth it, you’ll make it back in equity.” But consider that \$300, no matter where it’s going, is \$300 you can no longer spend on anything else. It will be promised to your mortgage company for the next thirty years or until you earn enough equity to refinance. That’s a \$70 date night every week, a \$3,600 summer vacation, or two \$1,800 trips you won’t get to take every year. It’s \$3,600 more you’ll have to earn doing a side hustle to pay down debt or afford the things you love. It’s \$108,000 you won’t be able to invest over thirty years, which, with 6 percent compound interest is potentially \$365,000 you lose out on in retirement. What else can you cut from your budget that’s going to save you \$365,000?! And that \$50,000 may cost you even more if you then have to put essential purchases on a high-interest credit card. While \$50,000 might not seem like much in the short-term, this one decision will save you more than every discount code and cup of coffee you make at home.